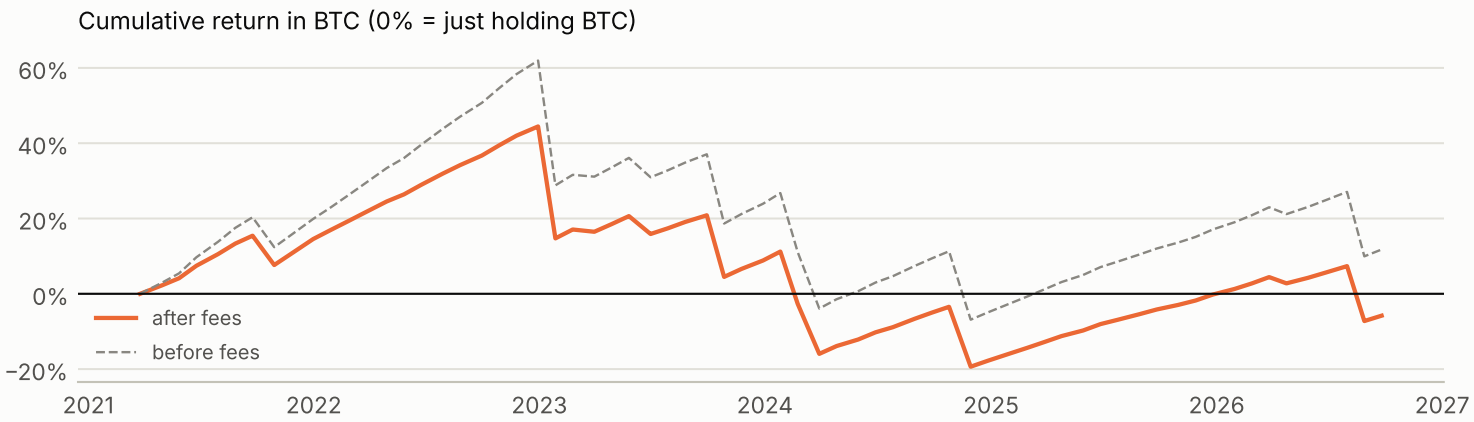
Hypothetical backtest: BTC covered-call class

Holds BTC and sells one 25-delta call on Deribit each month against it; premiums and payouts settle in BTC. Simulated on public option trades with assumed fees.

Period 2021-03-26 to 2026-09-25 | NAV and returns in BTC, after assumed fees | monthly roll at 08:00 UTC

Annualised return (BTC)	Volatility (monthly, annualised)	Worst month
−1.1%	**17.6%**	**−20.6%**
Max drawdown	**Positive months**	**Months the call paid out**
−44.2%	**85%**	**18%**



Monthly returns in BTC (after fees, by expiry month)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Year
2021				+2.2	+1.9	+3.2	+2.9	+2.5	+1.8	−6.7	+2.8	+3.5	**+14.5**
2022	+2.1	+2.0	+2.0	+2.4	+1.5	+2.0	+2.3	+1.7	+1.9	+2.0	+1.8	+1.7	**+26.1**
2023	−20.6	+2.1	−0.5	+1.7	+1.8	−3.9	+1.3	+1.4	+1.5	−13.5	+2.0	+2.1	**−24.6**
2024	+2.2	−12.5	−13.7	+2.5	+2.0	+2.2	+1.5	+2.4	+1.8	+1.6	−16.5	+2.0	**−24.5**
2025	+2.3	+1.8	+1.8	+1.8	+1.7	+1.9	+1.3	+1.6	+1.3	+1.3	+1.2	+1.6	**+21.4**
2026	+1.5	+1.5	+1.6	−1.6	+1.4	+1.3	+1.6	−13.6	+1.5				**−5.6**

Assumed terms

Class currency	BTC
Overlay	Sell one call per BTC held, 25-delta on the expiry's forward, on the next monthly expiry; settles in BTC
Premium	2.20% of a BTC a month on average, strike 14% above spot
Paid out	1.82% of a BTC a month on average, in 18% of months
Fees (assumed)	1.5% management; 20% performance above a high-water mark, quarterly
Before fees	+2.0% a year in BTC

How it behaves

The call caps BTC's rallies: in the 17 months BTC rose more than 10% (by 22% on average), the overlay gave back 4.9% of a BTC, before fees.

Worst month, before fees: expiry 2023-01-27 (−20.5%). March 2024 (BTC +37%): −13.5%.

Falling markets do not hurt the overlay itself (the call expires worthless), but the investor holds BTC throughout.

Prices are Deribit trades at each roll; size, slippage and venue risk beyond the measured spreads are not modelled.

A BTC holder's alternatives, before fees (same months)

Strategy	Return in BTC	Volatility	Worst month	Max drawdown
hold BTC	0.0%	0.0%	0.0%	0.0%
basis carry, BTC-hedged class	−4.6%	1.4%	−2.2%	−21.3%
covered call, 25-delta	**+2.0%**	**17.8%**	**−20.5%**	**−42.5%**
covered call, 10-delta	−2.0%	9.9%	−16.9%	−25.8%
short straddle, delta-hedged (1x)	+6.1%	12.7%	−12.5%	−16.8%

Hypothetical backtest on public data with assumed fees and costs. It is not a fund, a track record, an offer or a solicitation, and it does not describe any firm's products or terms. Past and simulated returns do not predict future returns. Legal, tax and regulatory feasibility is not assessed.